

Templeton Global Investments Emerging Markets Q&A

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Preview

We recently engaged with our emerging market portfolio managers to listen to their views on China, India, Middle East and Latin America.

Their investment views centered on the changing consumption patterns in China, continued domestic inflows to the Indian market, international investor under allocation to the Middle East and the emergence of market friendly policies in Latin America.

Significant year-to-date gains in emerging markets imply investors have begun to recognize the investment opportunity.

As this follows a prolonged period of underperformance relative to developed markets, there remains potential for further re-rating before valuations become a concern.

Conclusion

Investor sentiment towards emerging markets is changing. New growth drivers are emerging and our on-the-ground research teams are matching these drivers with companies trading at a discount to their intrinsic worth. Opportunities abound amongst our preferred themes of digitization and the role of change agents in the technology sector including semiconductor companies powering the growth of artificial intelligence. We also see opportunities in consumption, particularly in new business models in consumer services, as well as banks focused on increasing access to financial products in Asia and Latin America. Risks do exist, but we view these as cyclical in nature and are set against the backdrop of reforms driving structural growth in emerging markets.

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